

Tencent Holdings (700 HK)

Buy: 2Q26 NDR call key takeaways

- ◆ Investor questions centered around AI, spanning across...
- ◆ ...competition, why SOTA, spending and monetization
- ◆ Maintain Buy and HKD655.00 target price

We hosted Mr. James Mitchell, Tencent's Chief Strategy Officer and Senior Executive Vice President, on an NDR call on 3 Sep 2026 with below takeaways.

AI strategy: 1) Tencent's AI competitive advantages lie in its strong access to GPUs, capital, data, domain expertise including but not restricted to video games and office productivity, and a new unified team with strong capabilities. Management notes that while rebuilding the team may have set the model timeline back by 6-9 months, the team now has a unified reporting line, and has since accelerated model release cadence to every 2 months. **2) Why pursuing SOTA (State of the Art) now:** While MaaS has good ROI, model labs may reduce reliance on CSPs to distribute their models over time. While WorkBuddy can mitigate such risks by redirecting users to HY3 with similar results and lower price if third-party models become unavailable, CodeBuddy lacked a strong in-house coding model capability. Thus launch of HY4 preview (huge improvements in coding) can support some of coding requests from CodeBuddy. In addition, having an inhouse SOTA model can improve margin profile over time.

Financial implications from AI: 1) Capex spending: The capex in 2Q could be a new normal run-rate but there could be fluctuation (i.e. plus or minus). Tencent would continue to procure more chips in rest of the year and 2027, but the step-up to higher capital intensity has already occurred in 2Q26. The prepayment of over RMB50bn in 2Q26 was used to lock-in current and next-gen memory chips at attractive prices, which could continue into 3Q26 before normalising in 4Q26. Part of this is one-off in nature or can occur once every five years to address bottleneck in memory chips. **2) New AI product expenses:** The primary drivers were HY and harness products like WorkBuddy/CodeBuddy in 2Q26, vs. dominant driver of Yuanbao marketing in 1Q26. Xiaowei's running expense will come in meaningfully lower than HY or WorkBuddy because Xiaowei runs on a light weight model (WeLM), reducing computing cost needs. **3) ROI and priorities of different AI monetization avenues:** Among MaaS, harness and Xiaowei, the ROI of MaaS is the highest, with 40% GPM now due to GPU shortage and huge training workload demand. But Tencent is prioritising the long-term growth opportunity from harness and the training of HY over the short-term opportunity from MaaS because: i) MaaS GPM could face pressure in the future amid shift in demand from training to inferencing and potentially lower dependence from model labs on CSPs distribution after building up their own computing facilities; ii) Harness revenue growth and GPM have upside over time, thanks to more inferencing demand (improving HY model intelligence to drive more users using HY in harness products, which have higher margin), improving user stickiness (better memory of task history), and converting more free users to paying users. In fact, inferencing GPM for paying users for harness is already comparable to MaaS. Harness' paid tokens consumption is growing at twice or even higher rate w-o-w than free tokens.

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Equities Internet Software & Services

China



MAINTAIN BUY

TARGET PRICE (HKD)

655.00

PREVIOUS TARGET (HKD)

655.00

SHARE PRICE (HKD)

442.80

(as of 04 Sep 2026)

UPSIDE/DOWNSIDE

+47.9%

MARKET DATA

Market cap (HKDm)	4,030,877	Free float	67%
Market cap (USDm)	514,090	BBG	700 HK
3m ADTV (USDm)	1,693	RIC	0700.HK

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	28.09	28.83	28.75	32.87
HSBC EPS (prev)	28.09	28.83	28.75	32.87
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	28.03	29.61	31.61	34.07
PE (x)	13.5	13.1	13.2	11.5
Dividend yield (%)	1.3	1.3	1.2	1.4
EV/EBITDA (x)	11.9	10.7	9.8	8.5
ROE (%)	24.4	21.4	18.8	19.0

52-WEEK PRICE (HKD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Tencent Holdings

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	751,766	816,799	881,960	941,112
EBITDA	310,767	341,818	372,345	429,502
Depreciation & amortisation	-66,028	-78,407	-104,106	-123,327
Operating profit/EBIT	244,739	263,410	268,240	306,176
Net interest	1,779	2,456	-354	-679
PBT	277,249	280,336	280,517	321,078
HSBC PBT	312,033	321,510	321,983	364,559
Taxation	-47,448	-49,947	-52,649	-60,210
Net profit	224,842	223,225	220,048	253,047
HSBC net profit	259,626	264,399	261,514	296,529
Cash flow summary (CNYm)				
Cash flow from operations	303,052	311,533	344,360	390,421
Capex	-112,723	-212,368	-264,588	-301,156
Cash flow from investment	-205,732	-195,320	-249,758	-287,004
Dividends	-39,907	-41,325	-42,878	-42,358
Change in net debt	40,596	-32,970	-339	-9,675
FCF equity	190,329	99,165	79,772	89,266
Balance sheet summary (CNYm)				
Intangible fixed assets	228,338	231,914	236,674	242,685
Tangible fixed assets	1,073,034	1,218,134	1,387,506	1,575,926
Current assets	620,000	649,499	662,251	671,631
Cash & others	141,041	163,286	153,568	153,840
Total assets	2,038,986	2,217,161	2,404,046	2,607,855
Operating liabilities	388,504	407,846	446,979	467,240
Gross debt	387,733	377,008	366,951	357,548
Net debt	246,692	213,722	213,383	203,708
Shareholders' funds	1,154,152	1,316,546	1,466,534	1,651,666
Invested capital	1,391,827	1,528,415	1,685,884	1,869,161

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	13.9	8.7	8.0	6.7
EBITDA	21.2	10.0	8.9	15.4
Operating profit	22.3	7.6	1.8	14.1
PBT	14.8	1.1	0.1	14.5
HSBC EPS	18.6	2.7	-0.3	14.3
Ratios (%)				
Revenue/IC (x)	0.6	0.6	0.5	0.5
ROIC	18.1	16.5	15.1	15.4
ROE	24.4	21.4	18.8	19.0
ROA	12.0	10.8	9.9	10.4
EBITDA margin	41.3	41.8	42.2	45.6
Operating profit margin	32.6	32.2	30.4	32.5
EBITDA/net interest (x)			1052.6	632.2
Net debt/equity	19.9	15.2	13.6	11.6
Net debt/EBITDA (x)	0.8	0.6	0.6	0.5
CF from operations/net debt	122.8	145.8	161.4	191.7
Per share data (CNY)				
EPS Rep (diluted)	24.32	24.34	24.19	28.05
HSBC EPS (diluted)	28.09	28.83	28.75	32.87
DPS	4.76	4.76	4.72	5.46
Book value	124.85	143.57	161.24	183.09

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	4.9	4.5	4.2	3.9
EV/EBITDA	11.9	10.7	9.8	8.5
EV/IC	2.7	2.4	2.2	2.0
PE*	13.5	13.1	13.2	11.5
PB	3.0	2.6	2.4	2.1
FCF yield (%)	5.5	2.9	2.3	2.6
Dividend yield (%)	1.3	1.3	1.2	1.4

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	57.0	No. of board members	8
Energy intensity*	83.3	Average board tenure (years)	16.0
CO ₂ reduction policy	Yes	Female board members (%)	25
Social Indicators		Board members independence (%)	62.5
Employee costs as % of revenues	17.4		
Employee turnover (%)	n/a		
Diversity policy	Yes		

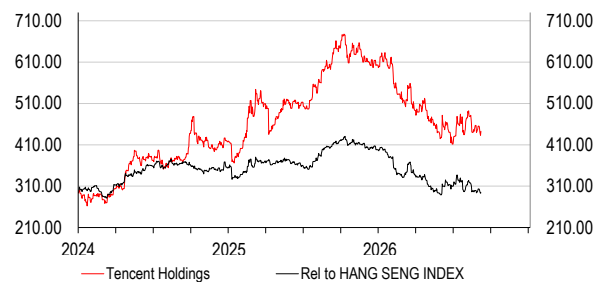
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

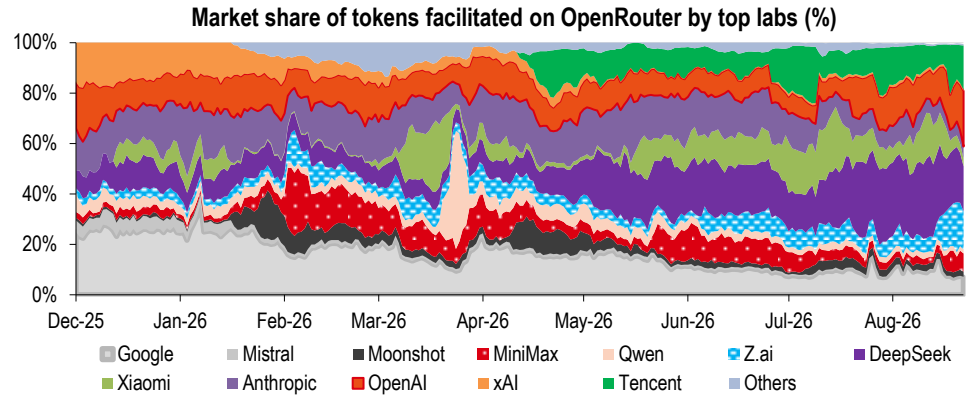
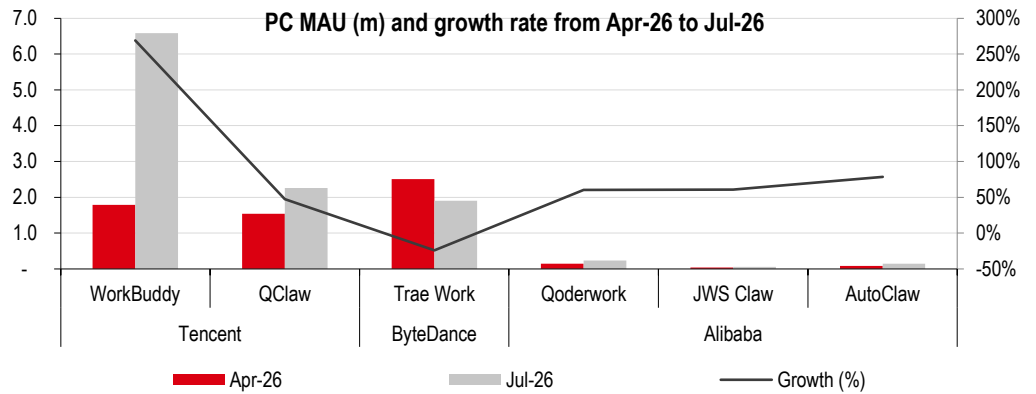
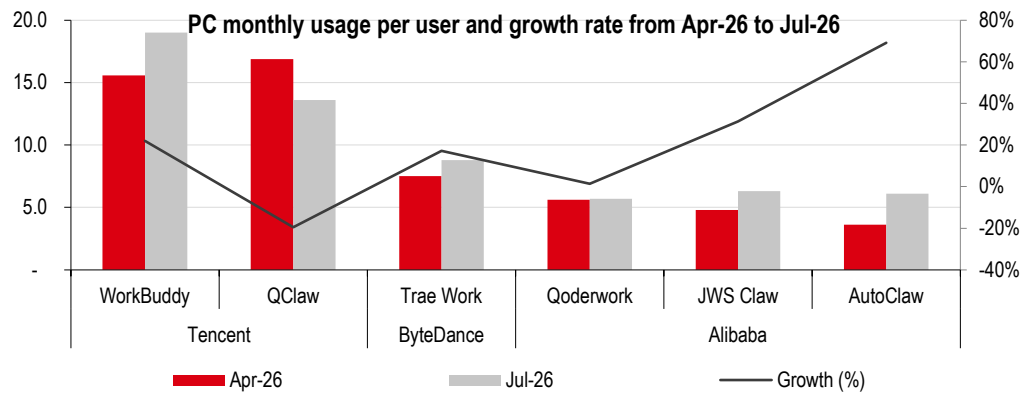
Share price (HKD)	442.80	Free float	67%
Target price (HKD)	655.00	Sector	Internet Software & Services
RIC (Equity)	0700.HK	Country/Region	China
Bloomberg (Equity)	700 HK	Analyst	Charlene Liu
Market cap (USDm)	514,090	Contact	+65 6658 0615

Price relative



Source: HSBC

Note: Priced at close of 04 Sep 2026

Exhibit 1: Tencent is gaining token market share on OpenRouter

Exhibit 2: WorkBuddy is leading peers in terms of PC MAU...

Exhibit 3: ...and monthly average usage per user


Valuation and risks

Valuation		Risks to our view
Tencent 700 HK	Current price: HKD442.80	Downside risks: ◆ Inability to get monetisation approval for games. ◆ Regulatory headwinds for games and internet finance. ◆ A deeper macro slowdown that could affect advertisers' budgets. ◆ Inappropriate advertising and video content. ◆ Changes in user preferences in terms of entertainment formats or communications. ◆ Overhang from major shareholders' reduction of stake over time. ◆ Being included in lists of overseas regulators that can affect operations or even trading/ownership of the stock. ◆ Higher-than-expected AI investment intensity and/or weaker monetisation/ROI could pressure margins and cash flow.
	Target price: HKD655.00	
Buy	Upside: 47.9%	
Methodology: DCF		
Assumptions: WACC of 8.4% is based on a debt/debt-and-equity ratio of 21.1%, risk-free rate of 4.25%, mainland China market equity risk premium of 4.75%, beta of 1.21, tax rate of 25%, and cost of debt of 3.2%. We use a terminal growth rate of 3.5%. Our inputs remain unchanged.		
We derive a TP of HKD655, which implies 47.9% upside from current levels. We maintain our Buy rating on the stock because we see solid fundamentals in games and ads.		
RMB counter: For the RMB counter (80700 HK, RMB379.80), our TP of RMB589.00 is converted from our H-share target price based on our FX team's RMB-HKD assumption of 1.17 at end-2026e.		

Priced at 4 September 2026
 Source: HSBC estimates

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Upside/Downside is the percentage difference between the target price and the share price.

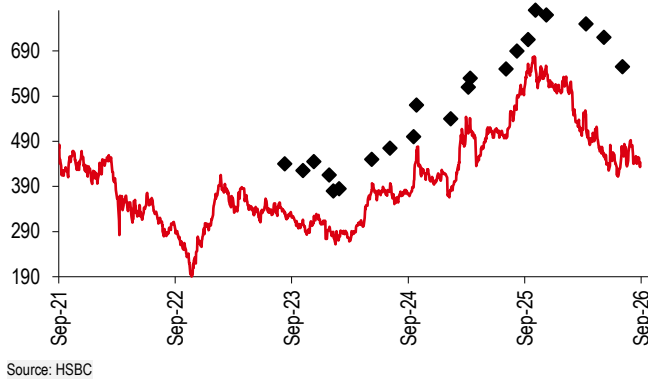
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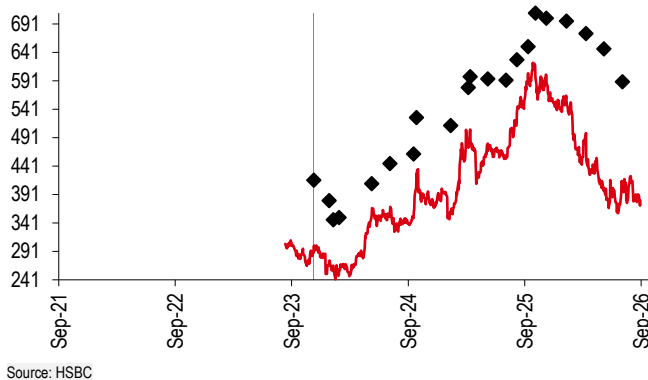
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Share price and rating changes for long-term investment opportunities
**Tencent Holdings (0700.HK) share price performance
 HKD Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
N/A	Buy	30 Jan 2019	Binnie Wong
Target price	Value	Date	Analyst
Price 1	440.00	16 Aug 2023	Charlene Liu
Price 2	425.00	12 Oct 2023	Charlene Liu
Price 3	445.00	15 Nov 2023	Charlene Liu
Price 4	415.00	02 Jan 2024	Charlene Liu
Price 5	380.00	15 Jan 2024	Charlene Liu
Price 6	385.00	02 Feb 2024	Charlene Liu
Price 7	450.00	14 May 2024	Charlene Liu
Price 8	475.00	11 Jul 2024	Charlene Liu
Price 9	500.00	23 Sep 2024	Charlene Liu
Price 10	570.00	02 Oct 2024	Charlene Liu
Price 11	540.00	17 Jan 2025	Charlene Liu
Price 12	610.00	13 Mar 2025	Charlene Liu
Price 13	630.00	19 Mar 2025	Charlene Liu
Price 14	650.00	10 Jul 2025	Charlene Liu
Price 15	690.00	13 Aug 2025	Charlene Liu
Price 16	715.00	17 Sep 2025	Charlene Liu
Price 17	780.00	10 Oct 2025	Charlene Liu
Price 18	770.00	13 Nov 2025	Charlene Liu
Price 19	750.00	18 Mar 2026	Charlene Liu
Price 20	720.00	13 May 2026	Charlene Liu
Price 21	655.00	10 Jul 2026	Charlene Liu

Source: HSBC

**Tencent Holdings (80700.HK) share price performance
 CNY Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
N/A	Buy	15 Nov 2023	Charlene Liu
Target price	Value	Date	Analyst
Price 1	416.00	15 Nov 2023	Charlene Liu
Price 2	380.00	02 Jan 2024	Charlene Liu
Price 3	346.00	15 Jan 2024	Charlene Liu
Price 4	350.00	02 Feb 2024	Charlene Liu
Price 5	410.00	14 May 2024	Charlene Liu
Price 6	445.00	11 Jul 2024	Charlene Liu
Price 7	462.00	23 Sep 2024	Charlene Liu
Price 8	526.00	02 Oct 2024	Charlene Liu
Price 9	512.00	17 Jan 2025	Charlene Liu
Price 10	579.00	13 Mar 2025	Charlene Liu
Price 11	598.00	19 Mar 2025	Charlene Liu
Price 12	594.00	14 May 2025	Charlene Liu
Price 13	592.00	10 Jul 2025	Charlene Liu
Price 14	628.00	13 Aug 2025	Charlene Liu
Price 15	651.00	17 Sep 2025	Charlene Liu
Price 16	710.00	10 Oct 2025	Charlene Liu
Price 17	701.00	13 Nov 2025	Charlene Liu
Price 18	696.00	15 Jan 2026	Charlene Liu
Price 19	674.00	18 Mar 2026	Charlene Liu
Price 20	647.00	13 May 2026	Charlene Liu
Price 21	589.00	10 Jul 2026	Charlene Liu

Source: HSBC

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Source: HSBC

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